



PRICE CAPS TO PEACE TALKS

Energy-Market
Statecraft and
the Path to a
Russia-Ukraine
Settlement



ALEXEI HOFFMAN

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ENERGY-MARKET STATECRAFT AND THE PATH TO A RUSSIA-UKRAINE SETTLEMENT

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Finally, the author dedicates this work to the soldiers of the Ukrainian military, whose courage and discipline he witnessed firsthand.

Cover Image

The cover juxtaposes a diplomatic negotiating table with a stylized map of Europe marked by shadow tanker silhouettes, route lines, and energy infrastructure icons, separated by a torn seam that reads as a political and market fault line. Together, the two halves symbolize how energy-market tools can translate commercial pressure into strategic leverage for a Russia-Ukraine settlement.

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List of Abbreviations

AIS – Automatic Identification System

BOFIT – Bank of Finland Institute for Emerging Economies

CAATSA – Countering America's Adversaries Through Sanctions Act

CREA –Centre for Research on Energy and Clean Air

ERA – Extraordinary Revenue Acceleration (Loans for Ukraine)

ESPO – Eastern Siberia–Pacific Ocean (crude blend)

FOB – Free on Board

GL – General License

IG P&I – International Group of Protection and Indemnity Clubs

JEF – Joint Expeditionary Force

JCPOA – Joint Comprehensive Plan of Action

KSE – Kyiv School of Economics

LNG – Liquefied Natural Gas

NB8++ – Nordic-Baltic Eight Plus Partners

NWF – National Wealth Fund (Russia)

REPO Act – Rebuilding Economic Prosperity and Opportunity for Ukrainians Act

SCEEUS – Stockholm Centre for Eastern European Studies

STS – Ship-to-Ship (transfer)

TEU – Treaty on European Union

EXECUTIVE SUMMARY

The Presidential Special Envoy's Office faces a calibration decision: whether to tighten, hold, or offer phased relief from energy sanctions, and in what sequence, to maximize U.S. leverage in active Russia-Ukraine settlement negotiations.

Coalition sanctions have denied Russia an estimated \$450-500 billion since February 2022. Russian fossil fuel export revenues fell to 464 million euros per day in January 2026, the lowest since the full-scale invasion, as the EU's dynamic price cap, October 2025 OFAC designations of Rosneft and Lukoil, and Urals crude discounts above \$25 per barrel compressed margins simultaneously.¹ These costs remain suboptimal. CREA analysis indicates that enforcement at a \$30 per barrel threshold would have denied an additional 162 billion euros from December 2022 through November 2025; the distance between actual and achievable denial defines the scope of unrealized leverage.²

Shadow fleet operations constitute the primary erosion mechanism: by November 2025, shadow tankers carried 72 percent of Russian seaborne crude exports, and the fleet reconstitutes faster than designation campaigns can shrink it.³ The shift toward active interdiction through Operation Southern Spear signals a toughened posture but has not closed the structural gap between designated and operational shadow capacity.⁴

Secondary sanctions on India and China, which together absorb approximately 85 percent of Russian seaborne crude, represent the largest unrealized leverage. The October 2025 designations produced measurable behavioral change: India's Russian crude intake fell 29 percent month-on-month by December, approximately 150 million barrels of Russian crude remained without buyers at sea by February 2026, and Rystad Energy projects Russia may need to cut production by 300,000 barrels per day by spring 2026.⁵

[1] Vaibhav Raghunandan, Petras Katinas, and Luke Wickenden, "January 2026 — Monthly analysis of Russian fossil fuel exports and sanctions," Centre for Research on Energy and Clean Air (CREA), February 18, 2026; Claire Mills, "Sanctions against Russia: What has changed in 2025?," House of Commons Library Research Briefing, no. CBP-10342 (London: House of Commons Library, November 28, 2025); Philip Luck, "How Sanctions Have Reshaped Russia's Future," Center for Strategic and International Studies (CSIS), February 24, 2025. Both aggregate estimates include approximately \$285 billion in immobilized Russian Central Bank foreign-currency reserves.

[2] Vaibhav Raghunandan and Petras Katinas, "November 2025 — Monthly analysis of Russian fossil fuel exports and sanctions," CREA, January 9, 2026 (originally published December 11, 2025). The €162 billion figure is cumulative for December 2022–November 2025.

[3] CREA, "September - December 2025 — Monthly analysis of Russian fossil fuel exports and sanctions". Shadow crude share: 69% (Sept.), 72% (Nov.), 74% (Dec. 2025).

[4] KSE Institute, "Assessing Russia's Shadow Fleet: Initial Build-Up, Links to the Global Shadow Fleet, and Future Prospects," Kyiv School of Economics, June 10, 2024; Windward, "Illuminating Russia's Shadow Fleet," 2024; Council of the European Union, "Russia's war of aggression against Ukraine: Council sanctions 41 vessels of the Russian shadow fleet," press release, December 18, 2025; KSE Institute, "Russian Oil Tracker – September 2025: Export revenues declined, but the shadow fleet offsets the losses," Kyiv School of Economics, October 20, 2025. KSE: 435 vessels; Windward: 980; EU Council (Dec. 18, 2025): ~604 designations. KSE Sept. 2025 tracker: 86% of shadow tankers >15 years old; 21% IG P&I insurance coverage for crude.

Sanctions relief constitutes a necessary settlement component. Oil and gas revenues fell below 23 percent of Russia's federal budget in 2025, yet fiscal pressure continues to compound: the Bank of Russia cut its key rate six consecutive times to 15.5 percent from a 21 percent peak, GDP growth decelerated from 4.1 percent in 2024 to approximately 1 percent in 2025, and KSE Institute projects oil export revenues at \$106 billion in 2026, down from \$189 billion in 2024.⁶ The draft peace plan proposes sanctions removal "in stages and on a case-by-case basis" with snapback provisions, a marked retreat from Moscow's demand for immediate unconditional removal. The JCPOA precedent and the Atlantic Council's eleven guiding principles, with benchmarks tied to child returns, POW releases, and withdrawal milestones, provide actionable frameworks for phased relief.⁷

The optimal approach follows a three-phase sequence: tighten enforcement to close the revenue-denial gap and establish credibility (Phase I), hold at maximum demonstrated pressure during initial negotiations (Phase II), and offer calibrated relief, graduated by value, reversibility, and compliance milestone, with preserved snapback authority (Phase III). Relief tiers should range from low-value, high-reversibility measures, such as vessel delistings at ceasefire implementation, to high-value concessions such as partial SWIFT reconnection that require verified comprehensive settlement compliance.

Coalition unity is the critical constraint: the United States controls OFAC designations and secondary sanctions authority while the EU controls the dynamic cap and SWIFT reconnection, and explicit instrument-assignment between Washington and Brussels is the essential precondition.⁸ The appropriate success metric is not sanctions volume, but the degree to which calibrated pressure and credible relief produce verifiable behavioral change toward a durable settlement.■

[5] [Alexander Kolyandr](#), "US Oil Sanctions on Russia: Progress," Center for European Policy Analysis (CEPA), October 28, 2025; [Vrinda Sahai](#), "The Impact of U.S. Sanctions and Tariffs on India's Russian Oil Imports," Carnegie Endowment for International Peace, November 20, 2025; [CREA](#), "December 2025 — Monthly analysis of Russian fossil fuel exports and sanctions," January 13, 2026 (updated February 12, 2026); Ray Furlong, "New Sanctions On Russian Oil Hit Indian, Turkish Refineries. Enter China?," [Radio Free Europe/Radio Liberty](#) (RFE/RL), January 18, 2026; [Kyiv Post](#), "Russia Is Running Out of Places to Put Its Oil as Exports Stall," February 16, 2026; [CREA](#), "January 2026 — Monthly analysis of Russian fossil fuel exports and sanctions," February 18, 2026. The 29% month-on-month decline partially reflects pre-deadline front-loading in November. Erica Downs (Columbia University) is quoted in the RFE/RL reporting; Rystad Energy is cited (alongside Kpler) in [Kyiv Post](#); CREA reports China record seaborne imports of 1.86M bpd in January 2026.

[6] [Vitaly Yermakov](#), "Fiscal Flex: Russia's Oil and Gas Revenues in 2024," Oxford Institute for Energy Studies, February 2025; [Alexander Kolyandr](#), "Putin's Sanctions Demands Doomed to Disappointment," CEPA, December 1, 2025; "Russian Central Bank Trims Key Rate, Sees a More Balanced Economy Ahead," [The Moscow Times](#), February 13, 2026; [Marek Dabrowski](#), "How Resilient Is Russia's Economy After Four Years of War?," Working Paper 32/2025, Bruegel, December 2025. Yermakov estimates oil and gas revenues at roughly 30% of the 2024 budget; [Moscow Times](#) reports a 15.5% key rate and cites Putin stating ~1% 2025 GDP growth.

[7] [Arms Control Association](#), "The Joint Comprehensive Plan of Action (JCPOA) at a Glance," fact sheet, last reviewed February 2025; [Daniel Fried and Kimberly Donovan](#), "There's a Right Way to Lift Sanctions on Russia. Follow These Dos and Don'ts.," Atlantic Council, March 26, 2025. Fried and Donovan outline eleven principles for sanctions relief.

[8] [Kimberly Donovan](#), [Maia Nikoladze](#), [Lize de Kruijf](#), and [Nazima Tursun](#), "Russia Sanctions Database: April 2025," Atlantic Council (EconoGraphics), April 17, 2025. SWIFT (Society for Worldwide Interbank Financial Telecommunication) is headquartered in La Hulpe, Belgium (near Brussels) and must comply with European Union sanctions law.

THE CALIBRATION QUESTION

The Presidential Special Envoy's Office must determine how to sequence enforcement escalation, secondary sanctions deployment, and relief offers within the active Russia-Ukraine negotiating framework. The G7 oil price cap and broader energy sanctions regime have compressed Russian fossil fuel revenues to their lowest level since the February 2022 full-scale invasion, yet CREA counterfactual analysis indicates that enforcement at a \$30 per barrel threshold would have denied Russia an additional 162 billion euros in cumulative oil export revenue from December 2022 through November 2025, revenue that instead financed Moscow's war effort.⁹ This enforcement gap, the distance between actual and achievable revenue denial, defines the scope of unrealized leverage. Oil and gas revenues remained the single largest individual revenue category in the Russian federal budget in 2025, even as their share fell below 23 percent, a record low, and January 2026 oil and gas tax receipts fell 50.2 percent year-on-year.¹⁰ Miscalibration carries asymmetric risk: premature relief forfeits leverage that the coalition cannot reconstitute once surrendered, while escalation that fractures the diplomatic process squanders a negotiating window in which three rounds of trilateral talks have narrowed outstanding issues to territorial terms.¹¹ Multiple convergent factors, including the EU's proposed replacement of the price cap with a full maritime services ban, measurable buyer behavioral change from the October 2025 Rosneft and Lukoil designations, sharp Russian fiscal deterioration, and a reported June 2026 target for a settlement framework, compress the decision timeline into the first half of 2026.¹²

Energy sanctions warrant focused assessment because the United States exercises more direct operational control over the oil revenue pipeline than over any other major instrument in the coalition toolkit. Immobilized central bank reserves function primarily as collateral for the G7's Extraordinary Revenue Acceleration loan rather than as a calibratable negotiating tool; SWIFT reconnection falls under EU jurisdictional control; and technology export controls serve a long-horizon military modernization objective that merits retention irrespective of settlement terms.¹³

[9] [CREA](#), "November 2025 — Monthly analysis of Russian fossil fuel exports and sanctions," January 9, 2026. CREA reports the €162 billion figure as cumulative denial under a \$30/barrel enforcement counterfactual (and notes this still exceeds Russia's average production cost). See also [John J. Fenton and Andrey Kolyandr](#), "Down But Not Out," audio brief, Center for Strategic and International Studies, July 2025.

[10] [Meduza](#), "Russia's Oil and Gas Revenues Are Shrinking. Meduza Explains What That Means for the Kremlin's War Chest," January 28, 2026 (citing Russian Finance Ministry data).

[11] Trilateral talks: Abu Dhabi (January 24–25 and February 4–5, 2026) and Geneva (February 17–18, 2026). Zelenskyy stated 90% of the 20-point framework was agreed, with territory the primary unresolved issue (Davos, January 22–23, 2026). Secretary Marco Rubio cautioned that additional sanctions could halt diplomatic engagement; see Henry J. Gomez, "Rubio Says Ceasefire Deal 'Not Off the Table' in Ukraine-Russia War," [NBC News](#), August 17, 2025; and [Felicia Schwartz](#), "Trump's Rubio Warns Russia Sanctions Could Derail Diplomacy," [Politico](#), June 25, 2025.

[12] [European Commission](#), statement on the proposed 20th sanctions package, February 2026 (including a full maritime services ban and additional shadow-fleet listings); [CREA](#), "December 2025 — Monthly analysis of Russian fossil fuel exports and sanctions"; and "Russia's External Debt Hits 20-Year High," [The Moscow Times](#), February 13, 2026.

The decisive U.S.-controlled variable is secondary sanctions authority over India and China, which together absorb roughly 85 percent of Russian seaborne crude.¹⁴ The recommended approach follows a three-phase sequence: tighten enforcement to close the revenue-denial gap and establish credibility, hold at maximum demonstrated pressure during initial negotiations, then offer calibrated relief, graduated by value, reversibility, and compliance milestone, with preserved snapback authority.

THE ARCHITECTURE OF ECONOMIC COERCION

The sanctions regime that targets Russian energy revenues evolved from a single compromise instrument, the G7 \$60 per barrel price cap of December 2022, into a layered, multi-actor architecture that encompasses import embargoes, maritime service prohibitions, entity designations, vessel blacklists, a dynamic price mechanism, and secondary sanctions authority. Fifteen EU sanctions packages, two major rounds of OFAC designations, and parallel UK actions constructed this architecture incrementally, each escalation a response to evasion tactics that undermined the preceding layer.

The reactive escalation pattern matters for the Envoy's Office because it explains both the regime's demonstrated coercive capacity and its structural vulnerabilities. EU sanctions envoy David O'Sullivan characterized enforcement as "a constant game of cat and mouse."¹⁵ The enforcement gap between actual and achievable revenue denial therefore represents not a failure of ambition but a consequence of incremental implementation against an adaptive adversary.

I. The Sanctions Regime: Design and Evolution

The Price Cap as a Defensive Compromise

The G7 oil price cap originated as a defensive innovation. The EU's 6th sanctions package (June 2022) imposed a maritime services ban for Russian oil, but U.S. Treasury officials assessed that full implementation could spike global prices toward \$150-200 per barrel.¹⁶

[13] U.S. Department of the Treasury, "Treasury Disburses Additional \$20 Billion in ERA Funds to World Bank for Ukraine," press release; Daniel Fried and Josh Donovan, "There's a Right Way to Lift Sanctions on Russia. Follow These Dos and Don'ts," Atlantic Council, March 26, 2025. On SWIFT governance and applicable law, see "Ukraine and Russia Geopolitical Issues and Sanctions — Customer FAQs," SWIFT Sanctions FAQs (v1.5), last updated March 10, 2022.

[14] CREA monthly analyses (2025), reporting India and China as the dominant buyers of Russian seaborne crude; see, e.g., CREA, "December 2025 — Monthly analysis of Russian fossil fuel exports and sanctions". For the October 2025 U.S. designations' coverage estimate, see Andrey Kolyandr, "US Oil Sanctions on Russia: Progress," CEPA, October 28, 2025.

[15] David O'Sullivan, quoted in "EU weighs expanding sanctions on exports to Russia," Financial Times, September 18, 2024.

[16] Ben Harris and Robin Brooks, "The story behind the proposed price cap on Russian oil," Brookings, June 5, 2025, ; Robin Brooks, "Lessons from 3 years of Russia sanctions," Substack, August 31, 2025.

A Treasury team developed the cap as a compromise: maintain Russian crude flows to global markets but cap the revenue Moscow could extract per barrel. The G7 endorsed the concept at Elmau (June 2022), and the cap took effect at \$60 on December 5, 2022. The \$60 level reflected political calibration rather than analytical optimum; Russia's marginal production cost averaged \$10-20 per barrel and its fiscal breakeven hovered near \$40, but European winter energy concerns pushed the coalition toward a conservative level at which Urals crude already traded.

The cap operates not as a direct ceiling on Russian oil sales but as a prohibition that bars Western service providers, shippers, insurers, brokers, and trade financiers, from service to Russian crude shipments sold above the cap. Enforcement depends on a three-tier attestation system in which brokers retain price records, financial institutions and shipping agents obtain attestations, and insurers verify compliance per voyage.¹⁷ The structural weakness: P&I clubs that insure the vast majority of global commercial shipping have no independent price verification capability and depend entirely on upstream self-attestation. The International Group of P&I Clubs acknowledged this fundamental reliance on attestation integrity.¹⁸ By mid-2023, Bruegel found that 96 percent of Russian crude exports from Kozmino port carried prices above the cap; attestation fraud was systemic from the regime's earliest months.¹⁹ OFAC tightened the framework in December 2023 through per-voyage attestation requirements and itemized cost documentation mandates, but these patches addressed symptoms and failed to resolve the structural self-attestation dependency.²⁰ The distance between the cap's theoretical coverage and actual compliance defines the enforcement gap quantified below.

The EU Embargo and Pipeline Exemption

The EU embargo and the price cap constitute distinct but interlocking instruments. The 6th package banned EU seaborne imports of Russian crude (effective December 5, 2022) and petroleum products (February 5, 2023), a restriction on what EU members may purchase. The price cap, adopted via the 8th package (October 2022), applies different logic: it restricts Western maritime services globally, and permits EU operators to facilitate Russian crude shipments to third countries only if sold below the cap.²¹

[17] [U.S. Department of the Treasury, Office of Foreign Assets Control \(OFAC\)](#), "Guidance on Implementation of the Price Cap Policy for Crude Oil of Russian Federation Origin," November 22, 2022.

[18] [International Group of P&I Clubs](#) (compliance guidance circulated by International Group clubs), "Oil Price Cap: Sanctions Guidance," circular, May 3, 2023.

[19] [Bruegel](#), "Russian Crude Oil Tracker," dataset (updated periodically), accessed February 27, 2026; [Bruegel](#), "European Natural Gas Imports," dataset (updated periodically), accessed February 27, 2026.

[20] [U.S. Department of the Treasury, OFAC](#), "Guidance on Implementation of the Price Cap Policy for Crude Oil and Petroleum Products of Russian Federation Origin" (updated), December 20, 2023; [U.S. Department of the Treasury](#), "Treasury Tightens the Price Cap with New Sanctions and Updated Guidance," press release no. JY2008, December 20, 2023.

Hungary's veto threat forced an exemption for pipeline crude through the Druzhba system, which continued to supply Hungary, Slovakia, and the Czech Republic at an estimated 5-6 billion euros annually in Russian revenues.²² The Czech Republic eliminated its dependence by April 2025 via the TAL-PLUS alternative; Slovakia remains reliant. Petroleum product caps (\$100/barrel premium, \$45/barrel discount) remain static; the floating mechanism applies only to crude.

Reactive Layering: EU Packages 12th through 19th

Subsequent EU packages followed a consistent evasion-response pattern; each round targeted circumvention methods discovered since the preceding action. Early packages (12th, December 2023) addressed attestation fraud; intermediate packages designated shadow fleet vessels and restricted LNG transshipment.²³ Two inflection points reshaped the architecture. The 14th package (June 2024) imposed an LNG transshipment ban after monitors found that EU ports had re-exported approximately 20 percent of Russian LNG that reached Europe, and designated the first 27 shadow fleet vessels. The 18th package (July 2025) replaced the static cap with a floating formula (85 percent of the 22-week Urals average) after Bank of Finland analysis found European tanker involvement in Russian oil exports had risen to approximately 50 percent, a level at which the static \$60 cap enabled rather than constrained Western participation.²⁴ The floating formula eliminated the need for repeated political negotiations and produced the September 2025 cap of \$47.60 and the February 2026 cap of \$44.10.

By December 2025, cumulative coalition vessel designations reached approximately 604, with the 17th package (May 2025, 189 vessels) the single largest action; EU data indicated prior designations had reduced Russian crude shipments from designated tankers by 76 percent.²⁵ The 19th package (October 2025) imposed a phased LNG import ban and, for the first time, sanctioned two Chinese refineries. The proposed 20th package (February 6, 2026) would replace the price cap entirely with a full maritime services ban, a structural shift from a revenue cap model to outright service prohibition.

[21] [Council of the European Union](#), "EU adopts sixth package of sanctions against Russia," press release, June 3, 2022; [Council of the European Union](#), "EU adopts its latest package of sanctions against Russia over the illegal annexation of Ukraine's Donetsk, Luhansk, Zaporizhzhia and Kherson regions," press release, October 6, 2022.

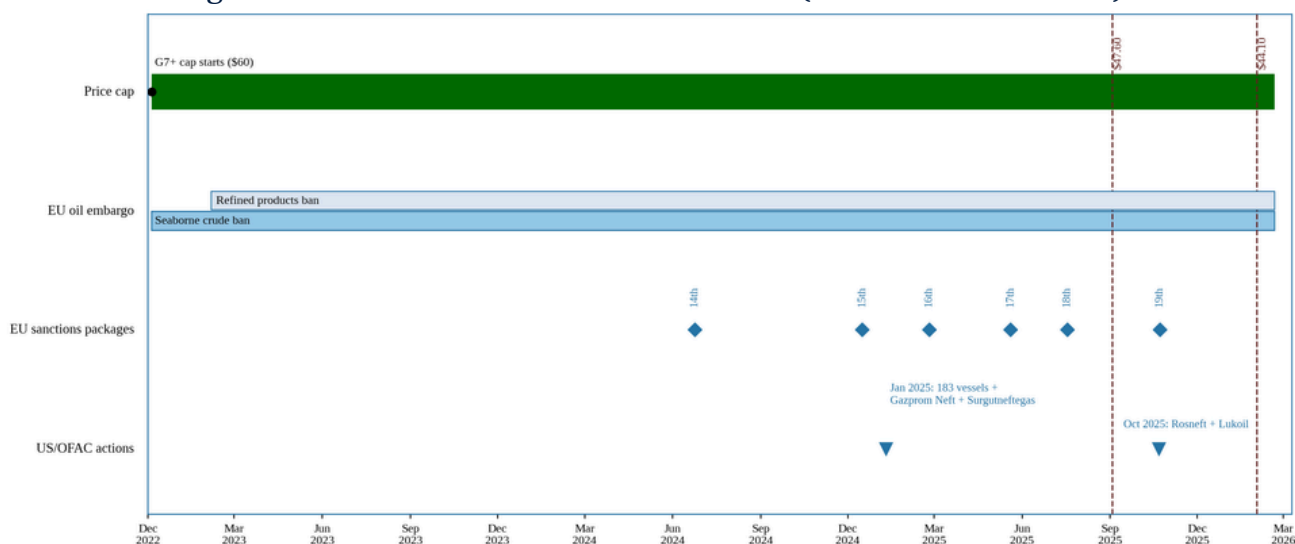
[22] [KSE Institute](#), "Options to complete the EU ban on Russian fossil fuels," report, March 2025; [CREA](#), "January 2026 — Monthly analysis of Russian fossil fuel exports and sanctions," February 18, 2026; "EU to propose permanent ban on Russian oil after Hungary election, document shows," [Reuters](#), February 24, 2026.

[23] [Council of the European Union](#), "EU adopts 12th package of sanctions against Russia," press release, December 18, 2023, .

[24] [Bank of Finland BOFIT](#), "Falling oil prices reduce Russia's budget revenues," Blog, 2025; [Laura Solanko](#), "Rough times for the Russian economy," Bank of Finland Bulletin, January 22, 2026.

[25] [Council of the European Union](#), "Russia's war of aggression against Ukraine: EU agrees 17th package of sanctions," press release, May 20, 2025; [European Commission](#), "Ukraine: EU designates 189 additional vessels as part of the Oil Price Cap Coalition," 2025.

Figure 1: Sanctions Architecture Timeline (Dec 2022–Feb 2026)



Source: European Council, “Timeline—Packages of sanctions against Russia since February 2022”; European Council, “EU sanctions against Russia: questions and answers”; European Commission, “New dynamic mechanism to lower price cap for Russian crude oil to \$44.10 per barrel”; U.S. Department of the Treasury, press releases [jy2777](#) and [sbo290](#).

From Revenue Cap to Entity Designation

The January 10, 2025, OFAC action shifted the architecture from indirect service denial to direct entity designation. In one of the Biden administration's final sanctions actions, OFAC designated 183 oil-carrying vessels and placed Gazprom Neft and Surgutneftegas on the SDN list.²⁶ The October 22, 2025, designation of Rosneft and Lukoil constituted the most consequential single action in the architecture's history: the two companies together produce approximately 55 percent of Russia's oil and contribute roughly 25 percent of federal revenue.²⁷ Combined with prior designations, more than 75 percent of Russian oil exports now fall under U.S. sanctions. SDN designation operates through a different coercive mechanism than the price cap: it prohibits any transaction with the designated entity by U.S. persons and creates secondary sanctions exposure for non-U.S. persons who continue to deal with Rosneft or Lukoil. Treasury explicitly framed the action as coercive; the stated objective of sanctions is “not to punish, but to bring about a positive change in behavior.”²⁸ The gap between designated and undesignated producers, notably Tatneft (approximately 565,000 barrels per day, CEO personally sanctioned but company undesignated), represents additional unused escalation authority available to OFAC.

[26] U.S. Department of the Treasury, press release no. JY2777, January 10, 2025.

[27] U.S. Department of the Treasury, “Treasury Sanctions Major Russian Oil Companies, Calls on Moscow to Immediately Agree to Ceasefire,” press release no. SBO290, October 22, 2025; Anders Åslund and Mikhail Kolyandr, “U.S. oil sanctions on Russia: Progress,” CEPA, October 28, 2025.

[28] U.S. Department of the Treasury, OFAC, “Russia-related Designations; Issuance of New and Amended Russia-related General Licenses,” October 22, 2025.

The Floating Cap and Its Successor

The floating cap introduced a self-reinforcing dynamic: enforcement actions push Urals prices down, the 22-week average declines, the cap adjusts downward, and the lower cap further constrains Western-serviced trade. The Bank of Finland characterized this mechanism as one that "steadily shovels sand into the gears of the Russian economy."²⁹ The mechanism's effectiveness, however, faces a structural constraint from U.S.-EU divergence: the United States retained the \$60 cap, which creates a bifurcated compliance environment in which a \$50 transaction is compliant under U.S. rules but non-compliant under the EU's \$44.10.³⁰ The proposed full maritime services ban would resolve this through elimination of the attestation architecture; enforcement would require only verification that a vessel did not enter a Russian port. The IEA's projection of a global oil surplus in 2026 substantially mitigates the supply-disruption risk that constrained the original design.³¹

II. The Enforcement Gap as Unrealized Leverage

Revenue Compression in Four Phases

Russian fossil fuel export revenues declined 54 percent from their post-invasion peak, from approximately 1,000 million euros per day in March 2022 to 464 million euros per day in January 2026, the lowest level since the full-scale invasion.³² The decline occurred in four distinct phases. The first (February-November 2022) produced a counterintuitive surge as commodity price spikes pushed revenues to approximately 868 million euros per day, and Russia earned 158 billion euros before the cap took effect. The second (December 2022-mid-2023) captured the cap's initial impact: revenues dropped to 640-700 million euros per day then stabilized as the shadow fleet scaled and attestation fraud spread. The third (mid-2023-mid-2025) traced a sustained but slow decline through the 600s, with the January 2025 OFAC designations an accelerant.

[29] [Laura Solanko](#), "Rough times for the Russian economy," Bank of Finland Bulletin, January 22, 2026.

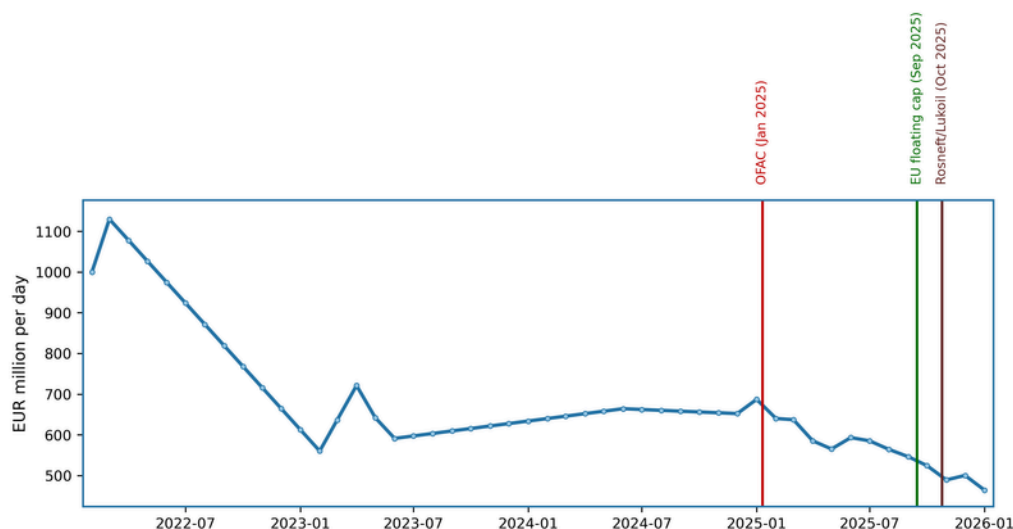
[30] [European Commission, Directorate-General for Financial Stability, Financial Services and Capital Markets Union](#), "New dynamic mechanism to lower price cap for Russian crude oil to \$44,10 per barrel," January 15, 2026.

[31] [U.S. Energy Information Administration](#), "Short-Term Energy Outlook," release date February 10, 2026.

[32] [CREA](#), "Monthly analysis of Russian fossil fuel exports and sanctions" (Financing Putin's War archive), accessed February 27, 2026.

The fourth phase (September 2025-January 2026) produced the sharpest compression and carries direct implications for the leverage assessment. The floating cap, Rosneft and Lukoil designations, and secondary sanctions effects combined to drive revenues from 546 million euros per day in September to 464 in January, a four-month decline that exceeded the previous year's total erosion. The IEA's February 2026 Oil Market Report independently characterized Russian oil revenues as "roughly half pre-invasion levels."³³

Figure 2: Russian Fossil Fuel Revenue Trajectory, Mar. '22–Jan. '26



Source: Centre for Research on Energy and Clean Air (CREA), Russia fossil-fuel export revenue data: CREA “[Monthly analysis: Russia](#)” posts (monthly headline revenue in EUR M/day), Jun '23–Jan '26; and CREA's Russia Fossil Tracker (underlying tracker data used to extend the monthly series back to Feb '22). Enforcement markers reflect month-level timing in CREA's analysis.

The Embargo's Price Mechanism

The Urals-Brent discount, the price differential between Russia's benchmark crude and the international standard, widened from a pre-invasion norm of \$1-2 per barrel to \$29.20 in January 2026, and pushed average Urals prices to \$37.60 per barrel.³⁴ At this level, portions of Russian production operate near full-cycle costs of \$40-45 per barrel, and some fields generate minimal or zero profit after extraction, transport, and tax obligations. The academic literature identifies the EU import embargo, not the price cap directly, as the primary mechanism behind this discount.

[33] [International Energy Agency \(IEA\)](#), “Oil Market Report - February 2026,” February 12, 2026; [Reuters](#), “Russia’s January oil and fuel export revenues rise to \$11.11 billion - IEA,” February 12, 2026; [Reuters](#), “Russia’s oil and gas budget revenue falls 24% to lowest since 2020,” January 15, 2026; “Russia’s January budget deficit hits nearly half of annual target,” [Moscow Times](#), February 6, 2026.

[34] [Organization of the Petroleum Exporting Countries \(OPEC\)](#), “OPEC Monthly Oil Market Report – February 2026” (Vienna: OPEC, February 11, 2026), PDF; [Reuters](#), “Russia’s Urals crude oil discounts widen to \$28 a barrel in Feb — traders,” **Zawya**, February 19, 2026.

The Dallas Federal Reserve Working Paper by Kilian, Rapson, and Schipper (revised January 2025) finds that the embargo forced Russia to accept a \$32 per barrel discount in March 2023, decomposed into approximately \$15 from higher transport costs on rerouted shipments and \$17 from increased buyer bargaining power as Russian sellers lost access to competitive European markets.³⁵ The cap's direct effect on the FOB price, the authors find, proved "negligible" once it facilitated the EU's relaxation of the maritime services ban; the cap's contribution was institutional rather than price-mechanical. Spiro, Wachtmeister, and Gars reach a parallel conclusion in Energy Policy (2025): the embargo constituted "the most consequential sanction," and the cap functioned primarily "as a partial transport embargo."³⁶ Catherine Wolfram, who helped design the cap as Treasury Deputy Assistant Secretary, disputes the "negligible" characterization and argues the cap's threat of service withdrawal influenced price formation even when not formally a constraint.³⁷

The discount trajectory reveals a critical pattern. The spread narrowed steadily as the shadow fleet matured and contracted to \$4-6 by August-September 2025, the smallest gap since the invasion. The October 2025 designations reversed this trend within weeks: the discount spiked to \$23-24 in November, widened to \$26-27 in December, and reached \$29.20 in January 2026.³⁸ The mechanism matters for the leverage argument: if the embargo drives the structural discount and the cap contributes primarily through its enforcement architecture, then the enforcement gap, the failure to enforce service restrictions against the shadow fleet, is the key variable. Tighter enforcement amplifies the price effect without additional sanctions legislation.

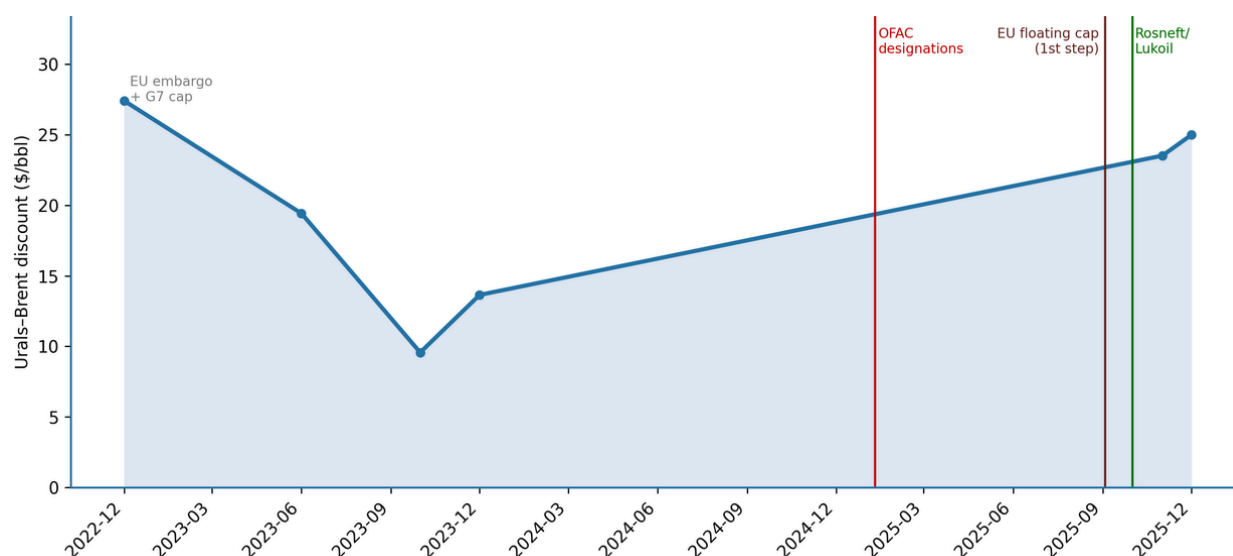
[35] Lutz Kilian, David Rapson, and Burkhard Schipper, "The Impact of the 2022 Oil Embargo and Price Cap on Russian Oil Prices," Working Paper no. 2401 (Dallas: Federal Reserve Bank of Dallas, rev. January 31, 2025).

[36] Daniel Spiro, Henrik Wachtmeister, and Jörgen Gars, "Assessing the impacts of oil sanctions on Russia," **Energy Policy** 206 (November 2025): 114739.

[37] Catherine Wolfram, "Research Commentary: Understanding the Price Cap on Russian Oil," MIT Center for Energy and Environmental Policy Research (CEEPR) Research Commentary RC-2024-05 (Cambridge, MA: MIT CEEPR, August 2024), PDF.

[38] Ben Aris, "LONG READ: How oil price discounts became a barometer of the sanction's effectiveness," **bne IntelliNews**, November 19, 2025; Robin Brooks, Kate Davidson, Ben Harris, Harold Hongju Koh, and Liam Marshall, "Stiffening European sanctions against the Russian oil trade," Brookings, February 3, 2026; CREA, "October 2025 — Monthly analysis of Russian fossil fuel exports and sanctions," November 14, 2025; Tim Zadorozhnyy, "Russia's flagship oil price drops as buyers retreat ahead of US sanctions," **Kyiv Independent**, November 17, 2025.

Figure 3: Urals-Brent Spread, January 2022–February 2026



Source: [Lutz Kilian, David Rapson, and Burkhard Schipper, “The Impact of the 2022 Oil Embargo and Price Cap on Russian Oil Prices,”](#) Federal Reserve Bank of Dallas Research Department Working Paper no. 2401 (revised January 2025); [KSE Institute, “Russian Oil Tracker”](#) (monthly reporting on Urals FOB Primorsk/Novorossiysk prices and discounts to ICE Brent, Dec. 2022–present; e.g., September 2024 and [December 2024](#) issues); [Financial Times, “Russian oil income drops sharply as sanctions bite,”](#) reporting Urals discounts widening to >\$24/bbl in 2025 based on Argus pricing data.

The Scope of Unrealized Leverage

Three cumulative denial metrics, each at a different scope, define the distance between the architecture's actual and potential economic impact. The broadest, total sanctions denial since February 2022, ranges from \$450 to \$500 billion, of which approximately \$285 billion represents immobilized Central Bank reserves; revenue-only denial therefore falls at roughly \$165-215 billion.³⁹ A narrower metric captures the price cap compliance gap: CREA estimates that full enforcement of the original \$60 cap from December 2022 through mid-2025 would have denied an additional approximately 39.5 billion euros (\$45 billion) beyond what the architecture actually captured.⁴⁰ The most analytically significant metric is CREA's \$30 per barrel counterfactual: enforcement at \$30, still above Russia's average production cost of \$15, would have denied 162 billion euros cumulatively from December 2022 through November 2025, equivalent to 39 percent of Russian oil export revenue over that period.⁴¹

[39] [Foreign, Commonwealth & Development Office \(UK\)](#), “Estimating the Impact of Sanctions on Russia’s War Efforts,” June 13, 2025; [Nicholas Fenton and Alexander Kolyandr](#), “Down But Not Out: The Russian Economy Under Western Sanctions,” Center for Strategic and International Studies, April 11, 2025; [KSE Institute](#), “Russian Oil Tracker — September 2025: Export Revenues Declined, but the Shadow Fleet Offsets the Losses,” PDF, September 2025.

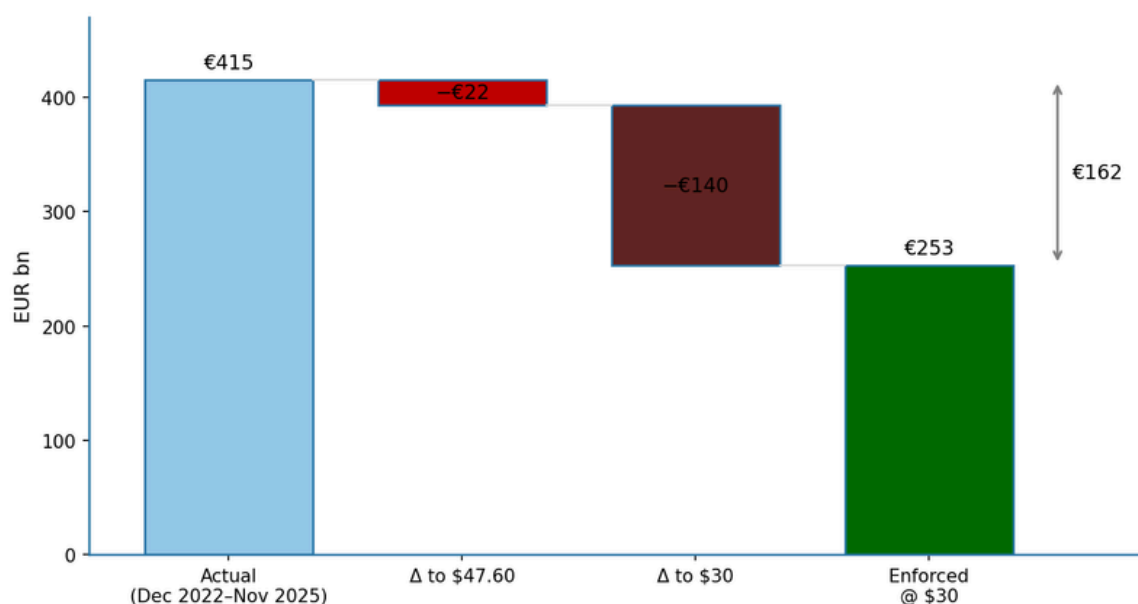
[40] [NV.ua](#), “Lower Oil Price Cap Could Slash Russia’s Revenue by Billions,” June 14, 2025; [NV.ua](#), “The EU Will Lower the Oil Price Cap for Russia from \$60 to \$47.60 — Reuters,” September 3, 2025.

[41] [CREA](#), “November 2025 — Monthly Analysis of Russian Fossil Fuel Exports and Sanctions,” January 9, 2026.

The Carnegie Endowment's Vakulenko adds fiscal precision: Russia's budget receives approximately 57 cents from every dollar of oil price above \$13.60 per barrel, which makes each additional dollar of discount a mechanically direct lever on the Russian treasury.⁴²

KSE Institute's forward projections quantify the enforcement gap's fiscal trajectory. The December 2025 Oil Tracker revised the 2026 oil export revenue projection to \$106 billion, a \$25 billion downward revision from October's \$131 billion estimate in a single month; under strong enforcement, KSE projects 2026 revenues as low as \$67 billion.⁴³ The fiscal impact at the sharp end is already visible: January 2026 oil and gas tax revenue fell 50 percent year-on-year to 393 billion rubles, 232 billion below the budget plan, which assumed \$59 per barrel Urals, now far above market reality.⁴⁴

Figure 4: Actual vs. Potential Revenue Denial



Source: Centre for Research on Energy and Clean Air (CREA), Vaibhav Raghunandan and Petras Katinas, "[September 2025 — Monthly analysis of Russian fossil fuel exports and sanctions](#)," October 14, 2025 (updated January 20, 2026); and "[November 2025 — Monthly analysis of Russian fossil fuel exports and sanctions](#)," December 11, 2025 (updated January 9, 2026).

[42] "Russian Oil Revenues Plunge to 5 Year Low," *Rigzone*, February 4, 2026.

[43] *KSE Institute*, "Russian Oil Tracker — December 2025: Russian Oil Export Revenues Reached the Lowest Level Since the Start of the Full-Scale Invasion; India's Imports Decreased by 40%," December 30, 2025; *KSE Institute*, "Russian Oil Tracker," PDF (December 2025 issue); *NV.ua*, "Russia's Central Bank Cut Oil Price Forecast for 2026: Details," February 14, 2026.

[44] "Russian Oil Revenues Plunge to 5 Year Low," *Rigzone*, February 4, 2026; "Russia's January Budget Deficit Hits Nearly Half of Annual Target," *The Moscow Times*, February 6, 2026; "Russia to Plan 2026 Budget Revenues Based on Oil Price of \$59 Per Barrel for Urals," *Interfax*, September 9, 2025.

Effective but Suboptimal

The quantitative evidence supports a calibrated assessment: the sanctions architecture works but operates well below its design potential. The Bank of Finland, among the most authoritative independent monitors of the Russian economy, published a January 2026 analysis with a section titled "Sanctions have worked": Urals-Brent discounts widened from \$1-2 to over \$20; the National Wealth Fund's liquid assets depleted; GDP growth constrained to approximately 1 percent; Gazprom posted net losses of \$7 billion (2023) and \$12.89 billion (2024).⁴⁵ The GAO, through synthetic control methodology, found Russia's 2022 growth was approximately 6 percentage points below a no-sanctions counterfactual.⁴⁶ CSIS characterized the Russian economy as "down but not out" and the sanctions toolkit as "among the most potent weapons to contain Russian power."⁴⁷

The underperformance evidence is equally documented. CREA's counterfactual analyses consistently identify substantial additional denial achievable under tighter enforcement, from 13-17 percent under the current cap to the 162 billion euro gap under a \$30 threshold. The FREE Network found that by early 2025, only 15 percent of crude tankers that departed Russian ports used Western insurance.⁴⁸ The analytical framework that connects these findings comes from Brookings and Harvard. Brooks, Harris, and Marshall (June 2025) argued that "Russia is more exposed to Western sanctions than it was at the start of its invasion" and that Western nations possess "generally more leverage."⁴⁹ Craig Kennedy (Harvard Davis Center, May 2025) framed the enforcement gap explicitly as a policy asset: shadow fleet capacity fell 46 percent after Q1 2025 sanctions, and "Moscow's rising dependency on mainstream tankers provides policymakers with enhanced leverage."⁵⁰ Brooks and Harris characterized the price cap and vessel sanctions as "a graduated escalation ladder," adjustable, reversible, and under policymaker control.⁵¹

The question is not whether additional leverage exists but how rapidly and in what sequence to deploy it.

[45] Laura Solanko, "Rough Times for the Russian Economy," Bank of Finland Bulletin, January 22, 2026.

[46] U.S. Government Accountability Office, Russia Sanctions and Export Controls, GAO-25-107079 (Washington, DC: GAO, September 8, 2025).

[47] Nicholas Fenton and Alexander Kolyandr, "Down But Not Out: The Russian Economy Under Western Sanctions," Center for Strategic and International Studies, April 11, 2025.

[48] "Transport Ban Russian Oil and Its Global Effects," FREE Network (Free Policy Briefs), November 24, 2025; House of Commons Treasury Committee, "Written Evidence: Isaac Levi (Center for Research on Energy and Clean Air)," UK Parliament.

[49] Robin Brooks, Ben Harris, and Liam Marshall, "Increase Pressure or Silently Acquiesce: The Critical Decisions Facing European Policymakers on Russian Sanctions," Brookings Institution, June 5, 2025.

[50] Craig Kennedy, "Moscow's Fading Shadow Fleet: Russian Oil Revenues Are More Vulnerable than Ever," Navigating Russia (Substack), May 7, 2025.

[51] Robin Brooks and Ben Harris, "Secondary Tariffs or Tighter Sanctions? Strategies to End Russia's War in Ukraine," Russia Matters, July 25, 2025.

III. The Shadow Fleet: Evasion Infrastructure and Exploitable Vulnerabilities

Scale and Vulnerability Profile

The shadow fleet constitutes the single largest obstacle to sanctions effectiveness. No consensus definition exists: estimates range from 435 vessels (KSE Institute, Russia-specific) to approximately 980 (S&P Global, combined Russia-Iran-Venezuela fleet), and the EU designated approximately 598 by December 2025.⁵² The operationally relevant metric, however, is not vessel counts but the share of Russian crude that moves outside Western services. CREA's November 2025 data found that sanctioned shadow tankers carried 44 percent, unsanctioned shadow vessels carried 26 percent, and G7-coalition vessels carried 30 percent; approximately 70 percent of Russian seaborne crude therefore moves outside the sanctions architecture's intended control.⁵³

The fleet's physical and regulatory characteristics create concrete enforcement levers. KSE data indicate that 86 percent of shadow fleet tankers exceeded 15 years of age by September 2025, a figure that Gibson Shipbrokers assessed had risen to 93-94 percent by early 2026.⁵⁴ Only 21 percent of Russian crude moved on tankers insured by International Group P&I clubs; non-IG alternatives consist primarily of Russian state insurers whose policies likely contain exclusion clauses that void coverage for cargoes in breach of sanctions (KSE).⁵⁵ Flag-state concentration compounds the vulnerability: Panama and Gabon together account for approximately 42 percent of shadow fleet registrations, and flag changes remain endemic; CREA documented 134 sanctioned vessels that shifted registries within three months of designation.⁵⁶

[52] [KSE Institute](#), Q1 2024; [S&P Global Commodities at Sea](#), Sep. 2025 (978 tankers, ~18.5% of global oil tanker tonnage); EU designations via European Council sanctions packages through Dec. 2025. Former EU sanctions envoy O'Sullivan estimated the EU had sanctioned "two-thirds" of Russia's shadow fleet.

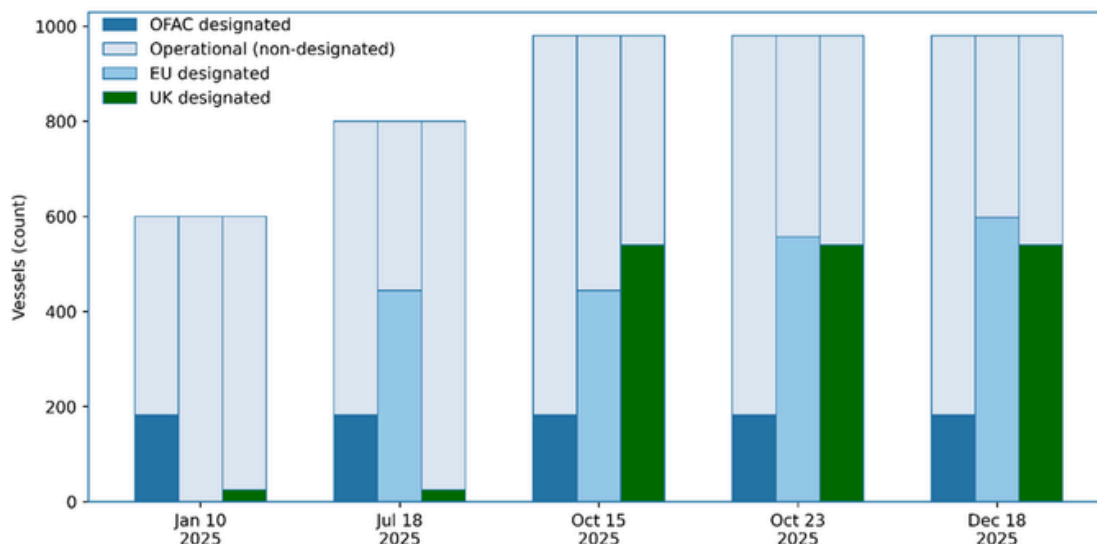
[53] [CREA](#), "November 2025 Monthly Analysis," Jan. 9, 2026.

[54] [KSE Russian Oil Tracker](#), Sep. 2025; [Gibson Shipbrokers](#), early 2026 assessment. [Poten and Partners data](#) show the share of 15-year-plus vessels on Russia routes rose from 28% in Jan. 2022 to 86-94% by 2025; 64% exceed the typical 20-year economic life.

[55] [KSE](#), Sep. 2025. From Pacific and Arctic ports, virtually no crude shipped on IG-insured vessels after mid-2024. Non-IG alternatives: Ingosstrakh, Sogaz, and AlfaStrakhovanie, reinsured by the sanctioned Russian National Reinsurance Company.

[56] [S&P Global](#); [CREA](#) documentation of flag-hopping; [Windward data](#) (Comoros accounts for 38% of sanctioned dark fleet tonnage). Over 500 ships now sail under false or unknown flags; over 40 sanctioned tankers reflagged to Russia itself in late 2024 (Windward).

Figure 5: Shadow Fleet: Designated vs. Operational Capacity



Source: [U.S. Department of the Treasury](#); [Council of the European Union](#); [UK Foreign, Commonwealth & Development Office](#); [Council of the European Union](#); [Council of the European Union](#); shadow-fleet size estimates compiled from [KSE Institute](#) reporting (Russian Oil Tracker, September 2025) and related open-source analysis.

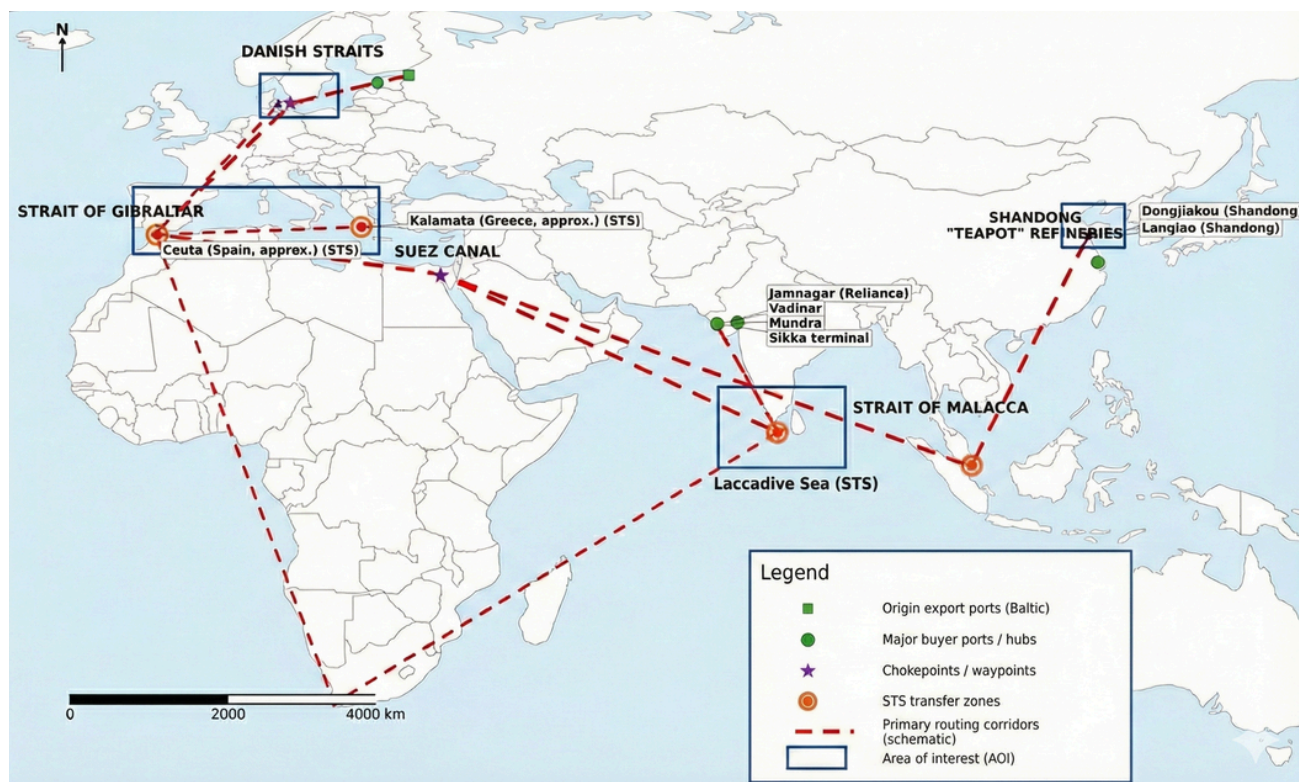
Operational Geography and Maritime Chokepoints

Ship-to-ship transfers represent the shadow fleet's critical operational technique and its most geographically concentrated vulnerability. STS transfers serve four evasion functions: vessel swap to eliminate attestation requirements, crude mixture to obscure provenance, AIS shutdown to avoid detection, and fraudulent price documentation.⁵⁷ CREA reported approximately 121 million euros per day in Russian oil transferred via STS in EU waters as of August 2025; this volume collapsed to approximately 5.5 million euros per day by January 2026, a decline that reflects enforcement pressure combined with geographic displacement rather than elimination of the practice.⁵⁸ The pattern is consistent across hubs: enforcement at Ceuta, Greece's Laconian Gulf, and Malaysia shifted activity to the next available location rather than a reduction in total volume. Structural solutions require enforcement at chokepoints that no alternative route can bypass: the Danish Straits, the Suez Canal, and the Strait of Malacca.

[57] [CREA and KSE](#) documentation of STS evasion practices, 2023-2025.

[58] [CREA](#), Aug. 2025 and Jan. 2026 monthly analyses. G7-coalition tankers conducted 94% of STS transfers in EU waters.

Figure 6: Shadow Fleet Operational Geography



Author map, corridors schematic; point locations approximate reference markers; CRS WGS84 (EPSG: 4325). Routes and recurrent ship-to-ship (STS) transfer zones illustrate the core evasion network. Chokepoints highlight where monitoring/enforcement can be concentrated.

Environmental Risk as Enforcement Rationale

Environmental liability has mobilized enforcement action that purely sanctions-focused arguments did not achieve. The Cook Islands-flagged *Eagle S* severed the Estlink 2 power cable and four data cables in the Gulf of Finland in December 2024; Finnish forces boarded the vessel, found 32 faults, and deemed it unseaworthy, an incident that shifted the shadow fleet threat from environmental to hybrid-infrastructure risk.⁵⁹ The liability gap magnifies the exposure: the IG P&I system covers up to \$1 billion for oil pollution, but shadow fleet vessels fall outside this framework, and CREA estimates cleanup costs for a major spill could reach \$1.6 billion.⁶⁰ Denmark's port-state inspections, the nine-nation demand for insurance documentation from Russian-linked vessels, and Germany's seizure of the *Eventin* all originated from environmental and safety concerns rather than sanctions compliance.⁶¹ This pattern suggests that enforcement framed as environmental protection, rather than sanctions compliance alone, expands the coalition of willing enforcers, particularly among Nordic and Baltic states with the geographic exposure and political will to act.

[59] Finnish authorities via *NPR*, Dec. 2024.

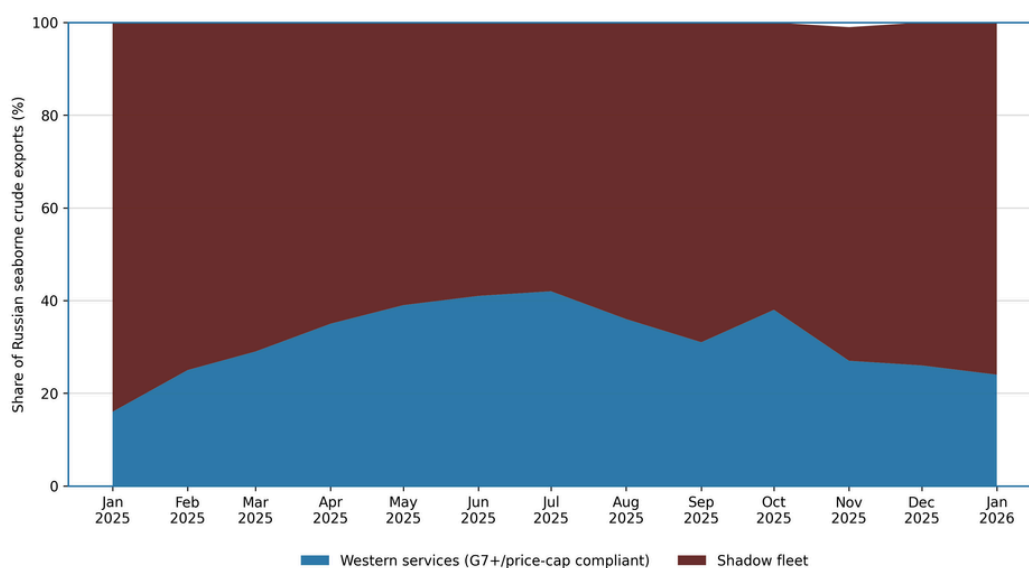
[60] *CREA* cleanup cost estimate; IG P&I pollution coverage cap; *EPRS*: "financial burden likely to fall on national governments."

[61] Germany *seized* in Mar. 2025, the first such seizure by an EU member state.

The Reconstitution Problem

The decisive question for enforcement strategy is whether designation campaigns can shrink the shadow fleet faster than Russia reconstitutes it. KSE data show that designated tankers that continued to load crude in Russia grew from 44 in January 2025 to 143 by November 2025; simultaneously, new unsanctioned vessels entered service.⁶² Despite 621 designations across jurisdictions, Baltic crude exports set an all-time record in January 2026 at 12.7 million tonnes. Craig Kennedy (Harvard Davis Center) argued in May 2025 that concentrated designation rounds had achieved a 46 percent capacity reduction, but the data since May indicate the reduction proved temporary as the fleet recovered through continued tanker acquisitions.⁶³ Robin Brooks (Brookings) identified the structural asymmetry that explains this resilience: Indian ports reject OFAC-sanctioned vessels but accept EU- and UK-sanctioned ones, and OFAC sanctions achieve approximately 70 percent productivity reduction versus approximately 30 percent for EU-only designations.⁶⁴

Figure 7: Russian Seaborne Crude: Western Services vs. Shadow Fleet



Source: [Centre for Research on Energy and Clean Air \(CREA\)](#). Figure reflects CREA's monthly estimates of the share of Russian seaborne crude transported using G7+/price-cap-compliant Western shipping/insurance versus the "shadow fleet" (sanctioned + non-sanctioned shadow tankers), Dec 2022–present.

The EU's proposed 20th sanctions package effectively conceded that vessel-by-vessel designation proved insufficient, and proposed replacement of the price cap with a full maritime services ban for Russian crude.⁶⁵ The shadow fleet represents the primary enforcement gap and the primary enforcement opportunity.

[62] [KSE](#), Jan.-Nov. 2025. Vessels continued to operate through false flags, AIS spoofing, and non-cooperative flag registries.

[63] [Kennedy](#), "Moscow's Fading Shadow Fleet," May 7, 2025. Greek shipowners supplied two-thirds of the shadow fleet's capacity and earned \$2.47B from tanker sales (Jan. 2022-Aug. 2023).

[64] [Brooks, Brookings](#), 2025. EU-only sanctions reduce vessel productivity by ~30%; OFAC sanctions achieve ~70% reduction.

[65] [EU 20th sanctions package](#) proposed Feb. 6, 2026.

IV. The Secondary Sanctions Lever: Credible Pressure and Its Constraints

The Dollar System as Enforcement Mechanism

The sanctions architecture targets the supply side of Russian oil exports through service restrictions; secondary sanctions target the demand side by alteration of buyer behavior. The October 2025 Rosneft and Lukoil designations demonstrated this mechanism's power: India's Russian crude imports fell 29 percent month-on-month, approximately 150 million barrels of Russian oil accumulated at sea by February 2026, and Rystad Energy projected Russia may need to cut production by 300,000 barrels per day by spring 2026.⁶⁶ The mechanism operates through the centrality of the U.S. dollar system. Edward Fishman (Columbia CGEP) frames the asymmetry: the dollar features in approximately 90 percent of global foreign exchange transactions, whereas the United States accounts for only 13 percent of global imports; secondary sanctions leverage the financial system's reach far beyond the direct trade relationship.⁶⁷ Kpler data quantify the differential: OFAC sanctions produce an average 70 percent decline in sanctioned vessel productivity; EU and UK sanctions produce only 30 percent, because India accepts EU- and UK-sanctioned vessels but rejects OFAC-sanctioned ones.

India: Proof of Concept

India imported approximately 1.75-1.80 million barrels per day of Russian crude in January through October 2025, which represented 35-40 percent of total crude imports, up from below 2.5 percent before the invasion.⁶⁸ After the October designations, imports collapsed to approximately 1.1 mbd by December, a three-year low; Russia's share of Indian imports fell from approximately 36 percent to 24-25 percent.⁶⁹ Jamnagar, India's largest refinery complex, processed zero Russian crude in January 2026. By February, Saudi Arabia became India's primary crude supplier for the first time since the invasion. Reliance Industries halted Russian imports entirely; only Indian Oil Corporation and Nayara Energy secured December deliveries. The November pre-compliance surge, in which imports rose paradoxically to 1.80-1.85 mbd as refiners stockpiled ahead of the General License 126 wind-down, actually strengthened the proof of concept: refiners treated the sanctions as credible enough to justify accelerated purchases before the compliance deadline closed.⁷⁰

[66] CREA, Dec. 2025 monthly analysis (Indian imports -29% MoM); Reuters, Feb. 2026 (~150M barrels stranded at sea); Rystad Energy, cited in *Kyiv Independent*, Nov. 2025.

[67] Edward Fishman, *Chokepoints: American Power in the Age of War* (2025); Columbia CGEP, 2025.

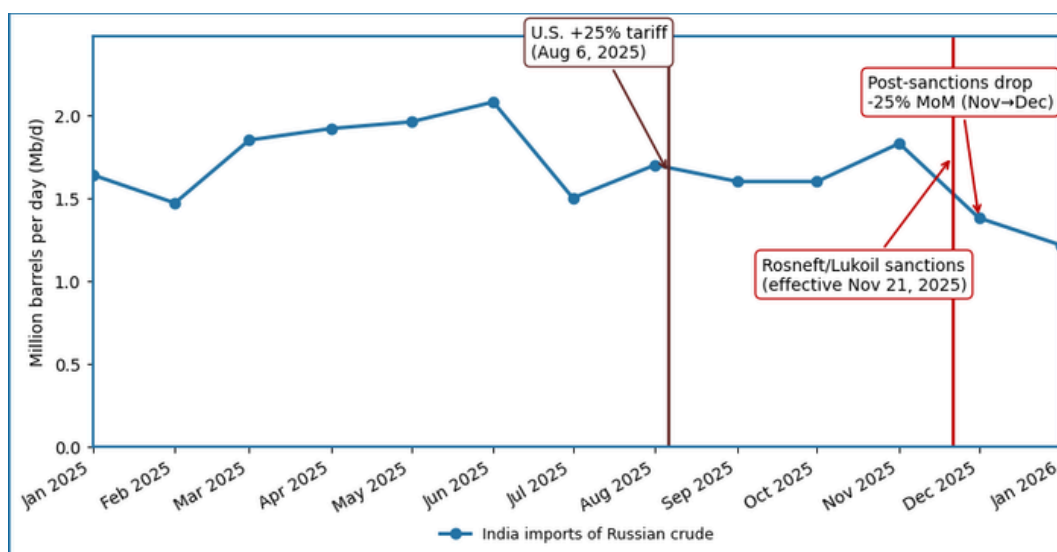
[68] CREA monthly analyses; S&P Global Commodities at Sea; India Ministry of Petroleum and Natural Gas trade data.

[69] IEA Oil Market Report, Feb. 2026: Indian imports at 1.1 mbd in Jan. 2026, lowest since Nov. 2022. Russia's share from ~36% to 24-25% per CREA and S&P Global tracking.

[70] November frontloading: India's crude inventories rose by 6M barrels in a single month ahead of the Nov. 21 GL 126 wind-down. After that date, Reliance, MRPL, and HPCL-Mittal announced cessation of Russian crude purchases.

Three structural factors explain the sharpness of India's adjustment. Dollar dependence in India's banking system and major refiners' U.S. capital market exposure created immediate compliance incentives, compounded by the bilateral tariff lever (50 percent tariff, with Treasury Secretary Bessent's characterization of India's import surge as "profiteering").⁷¹ India's historical compliance pattern, with New Delhi's previous halt of Iranian and Venezuelan crude under U.S. pressure, established a baseline of responsiveness. India's refining-export nexus created an additional EU-facing vulnerability: Indian refiners exported 61.2 million barrels of Russian-crude-derived products to Europe in 2025, compared to 1.8 million from China.⁷² The Nayara exception reveals a deliberate architectural gap. Rosneft holds 49.13 percent of Nayara Energy, structured precisely below OFAC's 50 percent blocking threshold. Nayara doubled its Russian crude intake to approximately 471,000 bpd by January 2026, 40 percent of Russia's remaining India shipments, and new intermediaries (RusExport, MorExport, Zarubezhneft) emerged within weeks, a reconstitution pattern that mirrors the January 2025 designation response.⁷³

Figure 8: India's Russian Crude Imports and October 2025 Impact



Source: [Carnegie Endowment for International Peace](#) (Carnegie India), [Reuters](#) (citing Kpler/industry/vessel-tracking data).

China as an Enabler

China's response demonstrates the boundary condition of secondary sanctions. China imported approximately 2.0 mbd of Russian crude in 2025, a modest 6.9 percent year-on-year decline from the 2024 record of 2.17 mbd; by February 2026, China was on track for 2.07-2.09 mbd, an absorption of India's displaced barrels at deep discounts

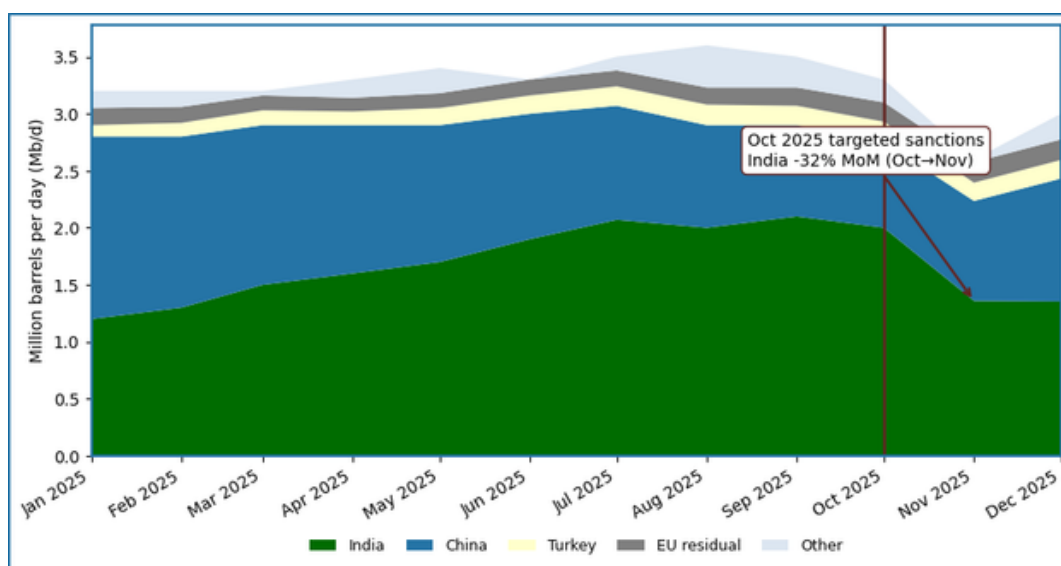
[71] [FREE Network](#), 2025; Bessent testimony cited in multiple outlets, characterizing India's import share rise as "profiteering."

[72] [CREA](#) data on refined product exports, 2025. The refining-export nexus makes Indian compliance essential.

[73] Nayara: Rosneft 49.13% stake per [corporate filings](#); Nayara ramped to 90-93% capacity (~471k bpd) by Jan. 2026, 56% above its 2025 average ([Kpler](#)). Indian state-owned UCO Bank secured authorization to handle Nayara payments. RusExport, MorExport, Zarubezhneft, and Redwood Global Supply FZE identified by Kpler as Dec. 2025 entrants.

as the ESPO premium collapsed from positive \$2 per barrel to negative \$6.⁷⁴ The response bifurcated along institutional lines: state-owned enterprises paused seaborne purchases within 24 hours of the October designations, but independent "teapot" refineries, approximately 150 facilities concentrated in Shandong Province that collectively constitute one-third of China's refining capacity, increased purchases.⁷⁵ Pipeline deliveries of approximately 900,000 bpd continued uninterrupted. Four structural factors explain China's non-responsiveness: yuan-denominated bilateral trade reduces dollar exposure; state energy security priorities override commercial compliance incentives; retaliatory capability in rare earths and supply chains creates mutual deterrence that India cannot replicate; and the teapot refineries that handle the bulk of Russian crude operate outside the formal banking channels that OFAC can most effectively target.⁷⁶ Fishman frames the policy question directly: aggressive sanctions against Chinese refineries and banks remain the most powerful unused lever, but deployment intersects with broader trade, Taiwan, and technology competition in ways that Indian sanctions did not.

Figure 9: Russian Seaborne Crude Destinations (India, China, Other)



Source: [KSE Institute](#), Russian Oil Tracker (monthly Russian seaborne crude exports by destination; vessel-tracking via Kpler). [CREA](#) (Centre for Research on Energy and Clean Air), Russia Fossil Fuel Tracker / monthly analysis and methodology.

Facilitation Nodes and Deployment Calibration

Transshipment jurisdictions illustrate both secondary sanctions' demonstrated reach and their limits. Fujairah rose from zero to approximately 141,000 bpd of Russian fuel oil by late 2022.

[74] [S&P Global](#); [CREA](#); [Kpler](#) data. China 2024 record: 2.17 mbd (~20% of total imports). ESPO premium data from [Argus](#) and [Reuters](#).

[75] SOE pause: PetroChina, Sinopec, CNOOC, and Zhenhua Oil within 24 hours of Oct. 22 designations. Teapot refineries: ~150 facilities in Shandong, collectively one-third of refining capacity.

[76] Edward Fishman, Chokepoints, 2025. The Shandong Yulong Petrochemical example illustrates teapot behavior.

Turkish Urals imports collapsed from approximately 400,000 bpd in June 2025 to approximately 100,000 bpd by December after the designations eliminated Turkey's primary suppliers.⁷⁷ The EU 18th package refined products ban (effective January 2026) prohibits EU imports of petroleum products from Russian crude processed in any third country, with enhanced due diligence explicitly required for Turkey, India, and China.⁷⁸

The current global oil surplus, with the IEA's projection of approximately 3.8 mbd for 2026, substantially mitigates the price-spike risk that constrained 2022 policy. Brooks and Harris argue that sanctions are superior to tariffs precisely because they "can be scaled up and down incrementally, which gives U.S. policymakers a degree of control they would not have with 100 or 500% tariffs."⁷⁹ The October action demonstrated that targeted deployment produces measurable behavioral change without worst-case economic or diplomatic consequences. Secondary sanctions represent the largest unrealized lever in the sanctions architecture; the question is how to sequence escalation, against which targets, at what pace, and tied to what negotiating objectives.

V. Coalition Architecture and the Settlement Calculus

The Bifurcation Problem

The G7 price cap coalition has operated under two different caps since September 2025: the United States at \$60 per barrel, unchanged since December 2022, and the EU at \$44.10 as of February 2026. A transaction at \$50 per barrel is compliant under U.S. rules and non-compliant under EU rules.⁸⁰ The divergence crystallized at the G7 finance ministers' meeting in Banff in May 2025, where Treasury Secretary Bessent blocked a proposed cap reduction; the EU proceeded unilaterally through the 18th package floating formula, and Trade Commissioner Dombrovskis stated the EU would "not shy away from taking steps at the EU level."⁸¹ The consequence: the U.S. cap sits \$22.40 above January 2026 Urals prices of \$37.60, which renders it functionally non-binding and undermines the coalition's credibility at the moment enforcement tools have reached their greatest potential effectiveness.

The Banff episode illustrates a structural condition. The sanctions architecture distributes coercive instruments across three actors, none of which holds sufficient levers to offer Russia meaningful economic relief alone.

[77] Fujairah: [S&P Global](#) and [CREA](#) tracking. Turkey: STAR refinery, 98% dependent on Russian crude with 73% from Lukoil, faces a binary choice between Russian feedstock and EU export market access.

[78] [EU 18th sanctions package](#), refined products ban effective Jan. 21, 2026.

[79] [IEA Short-Term Energy Outlook](#), Feb. 2026 (3.8 mbd surplus); [Robin Brooks and Ben Harris](#), "Secondary Tariffs or Tighter Sanctions?", *Russia Matters* (Harvard/Belfer Center).

[80] [European Commission](#), "New dynamic mechanism to lower price cap for Russian crude oil to \$44.10 per barrel," Jan. 15, 2026.

[81] [G7 Finance Ministers' Meeting](#), Banff, Alberta, May 2025. EU proposed \$50; Commission targeted \$45.

The United States controls the architecture's most potent coercive instruments through OFAC: SDN designations with the unique productivity differential the preceding subsection documented, secondary sanctions authority under Executive Order 14024 (no EU equivalent exists), and granular calibration through general licenses.⁸² The EU controls three of Russia's highest-priority relief targets: SWIFT access (governed by Belgian law), frozen Central Bank reserves of approximately 200 billion euros held primarily at Euroclear, and the floating cap and its proposed maritime ban successor.⁸³ The United Kingdom holds a distinctive position through London's insurance infrastructure, with the International Group of P&I Clubs' coverage of 86 to 95 percent of the global commercial fleet.⁸⁴ EU sanctions require unanimity under Article 29 TEU, which means any single member state can block both escalation and relief.

Russia's Demand and the JCPOA Precedent

Russia's position on sanctions relief evolved from maximalist rejection to operational flexibility. The peace draft under discussion proposes removal "in stages and on a case-by-case basis, with snapback provisions," which CEPA characterizes as "a significant Russian retreat from its long-held position that all sanctions are illegal and must be removed immediately."⁸⁵ Russia's revealed instrument priorities confirm the stakes: SWIFT reconnection ranks as the top operational demand and falls under EU control; correspondent banking and oil export restrictions follow; and Russia appears to have accepted de facto that the frozen reserves are unlikely to return, with the Central Bank's December 2025 legal proceedings against Euroclear consistent with write-off rather than recovery.⁸⁶

The JCPOA offers the closest precedent for staged, verification-triggered multilateral sanctions relief. Implementation Day on January 16, 2016, demonstrated that simultaneous multi-actor relief tied to independent verification is technically achievable: the IAEA verified Iran's completion of fifteen nuclear-related actions, and the EU, United States, and United Nations lifted sanctions in coordinated sequence.⁸⁷ The 2018 U.S. withdrawal, however, destroyed the framework without activating its own enforcement architecture, and Iran began to exceed nuclear limits by July 2019; Moscow explicitly cites this precedent, with Lavrov calling the snapback mechanism "a trap."⁸⁸ The "JCPOA chill" reinforced the lesson from the economic side: despite formal relief, few Western firms returned to Iran, as residual sanctions, banking de-risking, and snapback risk combined to limit tangible economic benefit.⁸⁹

[82] General licenses: [GL 131B](#) (Lukoil divestment negotiations), [GL 128B](#) (Lukoil retail operations), [GL 124B](#) (Caspian Pipeline).

[83] SWIFT: EU escalated from messaging to comprehensive transaction ban covering 50 Russian banks (18th package, July 2025).

[84] [CREA](#) found 33% of all Russian oil by volume transited on UK-insured tankers from Mar. 2022 through Nov. 2023.

[85] [CEPA analysis](#); peace draft language from reporting on the Abu Dhabi and Geneva rounds, Jan.-Feb. 2026.

[86] Kolyandr, [CEPA/CSIS](#), Mar. 2025 (instrument prioritization). Central Bank legal proceedings against Euroclear filed Dec. '25.

[87] [JCPOA Implementation Day](#), Jan. 16, 2016. IAEA verification of 15 nuclear-related actions triggered sanctions relief.

Three structural gaps separate any Russia framework from the JCPOA template: no IAEA-equivalent verification body exists for military withdrawal or ceasefire compliance; Russia's UNSC veto makes Council-based architecture impossible; and U.S. statutory constraints under CAATSA and the REPO Act limit presidential discretion over relief in ways that the JCPOA's reliance on presidential waiver authority did not face.⁹⁰

Compounding Pressure and the Decision Window

Russia's domestic indicators suggest that sanctions pressure compounds rather than plateaus. The National Wealth Fund's liquid assets fell from approximately \$113.5 billion before the invasion to \$51.8 billion by November 2025; Gazprombank analysts estimate that at \$30-35 per barrel oil, remaining funds deplete by end of 2026.⁹¹ GDP growth fell from 4.3 percent in 2024 to an IMF forecast of 0.8 percent for 2026. The Bank of Finland assesses that Russia "finds itself constrained to annual growth rates near its long-term potential rate of around 1 percent" and calls "recession a very real possibility."⁹² The Bank of Russia cut the key rate six consecutive times to 15.5 percent from a peak of 21 percent, consistent with decelerating activity. Record-low unemployment of 2.1 percent reflects labor shortages, approximately 1.5 million people lost to war casualties and emigration, not economic strength.⁹³

Each month of sustained enforcement compounds fiscal, industrial, and labor-market pressure. The compounding dynamic, however, operates against a time-bound constraint. Chatham House warns that if Russia completes its transition to a more autarkic economic model, sanctions leverage diminishes permanently. The window for maximum leverage is open but will not persist indefinitely.

The Structural Case for Tighten-First

The empirical record through early 2026 establishes a fundamental asymmetry: any coalition member can tighten unilaterally, but meaningful relief requires joint action. Throughout 2025, the EU and UK adopted major sanctions packages without U.S. participation, the EU lowered the cap unilaterally, and the UK designated entities the EU had not matched.⁹⁴ The relief side inverts this logic. Russia requires OFAC designation removal (U.S.-controlled), SWIFT reconnection (EU-controlled), frozen asset access (EU-controlled), insurance market reopening (UK-controlled), and cap removal (joint).

[88] Lavrov: snapback is "a trap." Deputy FM Ryabkov: Russia does not view the U.S. "as a partner who is able to negotiate."

[89] Bauer and Clawson, Washington Institute, 2022: companies weighed "possibility of Republican returning to the White House."

[90] CAATSA requires congressional review before lifting.

[91] NWF liquid assets: ~\$113.5B pre-invasion, June 2025 low of \$36.4B (lowest since 2019).

[92] Laura Solanko, "Rough times for the Russian economy," Bank of Finland Bulletin, Jan. 22.

The Atlantic Council concluded that the United States cannot deliver the economic relief Russia seeks alone and will need to work with European partners.⁹⁵ Daleep Singh, former Deputy National Security Advisor, articulated the principle: the force of economic statecraft correlates directly with the size of the coalition that implements and enforces it.⁹⁶

This asymmetry constitutes a strategic asset if the Envoy's Office exploits it deliberately. The United States can escalate unilaterally through OFAC designations and secondary sanctions, actions that require no EU unanimity and no allied consent. These actions establish credibility and create facts on the ground. Relief, by contrast, requires coordinated multilateral action that Russia must earn through verifiable compliance. The structure aligns the coalition's constraints with a coherent logic: tighten where action is unilateral, offer relief where coordination is required, and make that coordination the reward for behavioral change. The analytical framework developed in the preceding subsections provides the basis for the operational approach that Sections 3 and 4 translate into specific sequenced recommendations.

THE DECISION SPACE

The Envoy's Office faces a sequencing question, not a binary choice between pressure and accommodation. The global oil supply environment of 2026, with the IEA's projection of a 3.8 million barrel per day surplus and OPEC's 5.8 million barrels per day of spare capacity, provides a cushion for enforcement action that did not exist in 2022. Four options span the decision space; current policy approximates a strategic hold, with the October 2025 designations a punctuated deviation toward comprehensive escalation.

Comprehensive Escalation

The maximum pressure option would expand vessel designations to close the gap between sanctioned and operational fleets, enforce the floating cap through port-state inspections and insurance audits, deploy secondary sanctions broadly against institutions in India, China, the UAE, and Turkey, and lower the U.S. cap to align with the EU's \$44.10 threshold. This option carries genuine coercive force: tighter enforcement could deny Russia an additional \$1 to \$3 billion per month, compounding pressure at Russia's most vulnerable fiscal moment.

[93] Bank of Finland estimate: ~1.5M people lost to casualties and emigration. Record 38% of corporate profits went to debt service.

[94] [Atlantic Council](#) described the dynamic as Brussels and London ratcheting pressure without Washington.

[95] [Fried and Donovan](#), "There's a right way to lift sanctions on Russia," Atlantic Council, Mar. 26, 2025.

[96] Daleep Singh, cited in multiple contexts on coalition-based economic statecraft, 2024-2025.

Barclays estimates a sustained one million barrel per day disruption would add approximately \$8 per barrel, manageable within current surplus conditions.⁹⁷

The risks, however, are serious. Broad secondary sanctions against India and China would damage competing U.S. strategic interests at a moment when the administration prioritizes both relationships for non-Ukraine reasons. The Iran precedent is instructive: RAND's May 2025 assessment found that unilateral maximum pressure "destroyed the Iranian economy but failed to force Iran to abandon its nuclear program," and the critical variable proved to be multilateral coordination, not pressure intensity alone.⁹⁸ Administration signaling, including Rubio's August 2025 statement that additional sanctions would not force a ceasefire and Bessent's resistance to cap reduction at Banff, suggests limited appetite for sustained unilateral escalation. Maximum pressure without a credible offramp risks what Bohnert at RAND characterizes as hardened resolve without behavioral change.

Strategic Hold

The strategic hold would maintain the current sanctions posture without new escalation, allow existing instruments to compound over time, and signal willingness to escalate if negotiations stall. This option avoids market disruption and diplomatic friction, aligns with stated administration skepticism, and preserves escalation options as a credible future threat.

Strategic hold, however, is insufficient as a negotiating strategy. CSIS warns explicitly of "diminishing returns" as Russia adapts to the existing sanctions baseline.⁹⁹ The FDD's "Red Queen" framework describes an enforcement dynamic in which neither side progresses; the two-to-three-month adaptation cycle that Vakulenko and CREA data confirm means the October 2025 shock will likely dissipate by Q2 2026 without reinforcement. CREA data showed Russian seaborne crude exports surged 24 percent within two months of the January 2025 designations.¹⁰⁰ The UK House of Commons Library documented a nine-month U.S. sanctions pause under the Trump administration through which the EU and UK continued independent escalation, a de facto transatlantic divergence.¹⁰¹ Most critically, Option B does not establish the enforcement credibility necessary for relief to function as an inducement: without demonstrated willingness to tighten, the offer of relief carries no coercive weight.

[97] Barclays estimates per [RBC Capital Markets](#), 2025-2026. January 2026 oil and gas tax revenue fell 50% YoY.

[98] RAND, "Maximum Pressure 2.0: Lessons from the Iran Experience," May 2025.

[99] CSIS: Fenton and Kolyandr, "Down But Not Out," July 2025.

[100] CREA monthly analyses, Jan.-Mar. 2025; [Sergey Vakulenko](#), Carnegie Endowment, 2025

[101] [UK House of Commons Library](#), "Russia Sanctions Update," 2025.

Early Inducement

This option would offer sanctions easing as a negotiating inducement without first tighter enforcement. An honest assessment identifies genuine merit: early relief would signal good faith, Bank of America estimates Brent could fall \$5 to \$10 per barrel if Russian barrels re-entered transparent markets, and Stephen and Zarate at Just Security correctly identify a structural gap in the current framework's lack of a credible relief pathway.¹⁰²

The evidence argues against this approach on both strategic and precedential grounds. Relief without prior tightening signals that the current baseline, to which Russia has already substantially adapted, represents the ceiling of Western coercive capability. Fried and Donovan at the Atlantic Council warn that "Russia will pocket concessions and consider them a sign of weakness."¹⁰³ The Myanmar precedent provides the strongest cautionary case: the United States rolled back three decades of sanctions between 2011 and 2016 in response to democratic opening, the 2021 military coup reversed all gains, and reimposition faced higher political costs because the sanctions infrastructure had been dismantled. Venezuela offers a more recent parallel: the Biden administration issued a general license to incentivize free elections in 2023, and Maduro exploited the economic relief and falsified results regardless.¹⁰⁴ Relief without tightening signals that the baseline is the ceiling.

The sequenced coercion-to-inducement approach exploits the structural asymmetry at the center of the sanctions architecture: tightening can proceed unilaterally through OFAC designations and secondary sanctions, no EU unanimity or Hungarian veto required, while relief requires multilateral coordination that Russia must earn.

OPERATIONAL FRAMEWORK: TIGHTEN, HOLD, CALIBRATE

The recommended framework operates in three phases within existing executive authority under Executive Orders 14024 and 13662. Phase I (Months 1-3) aligns with the current negotiating cadence from the Geneva third round (February 18) through projected Abu Dhabi follow-on sessions. Phase II (Months 3-6) covers the intensive negotiation period. Phase III (Months 6 and beyond) begins when the negotiating track produces verifiable commitments.

[102] [Bank of America, energy market analysis 2025](#); [Stephen and Zarate](#), "This Is No Time for Business as Usual in Russia," Just Security, 2025.

[103] Fried and O'Toole (via [Donovan](#)), "There's a right way to lift sanctions on Russia," Atlantic Council, Mar. 26, 2025.

[104] Myanmar: sanctions rolled back 2011-2016; 2021 coup reversed gains; reimposition faced higher costs (dismantled infrastructure). Venezuela: GL issued 2023 to incentivize elections; Maduro exploited relief; GL revoked.

Phase I: Closing the Enforcement Gap

Phase I front-loads enforcement action to establish credibility and close the gap between the architecture's demonstrated and potential coercive capacity. Four actions constitute the phase's operational core.

The first action targets the vessel designation gap. OFAC has not designated a single Russia-specific vessel since January 2025, even as the EU has added vessels in monthly rolling actions. Against the estimated 940-vessel shadow fleet and approximately 700-800 unique designations across jurisdictions, the gap stands at approximately 140-240 vessels.¹⁰⁵ The Envoy's Office should coordinate an OFAC designation package with priority on tankers that transit Baltic chokepoints, which carry 60 percent of Russian seaborne crude exports, and those that conduct ship-to-ship transfers at identified hotspots. The fourteen-nation stateless vessel declaration of January 2026 creates complementary enforcement under UNCLOS Article 110: over 300 shadow fleet vessels fly false or no flags, which subjects them to interdiction by signatory navies.

The second action formalizes Nordic and Baltic enforcement coordination. Denmark, Sweden, and Germany now require insurance documentation from transit tankers, with over 90 percent of contacted vessels eventually in compliance. The NB8++ insurance verification initiative and the JEF-led Nordic Warden AI system provide real-time shadow fleet surveillance across twelve countries.¹⁰⁶ Phase I should convert this ad hoc coordination into a standing Baltic enforcement mechanism. The environmental liability argument provides the strategic rationale: the shadow fleet's average age of 18-19 years creates acute spill risk in confined Baltic waters, and environmental framing expands the enforcement coalition beyond sanctions-focused actors.

The third action signals selective secondary sanctions against financial intermediaries. The target set is the transaction infrastructure, not state entities, a calibration that manages diplomatic costs while it demonstrates escalation willingness. In India, UCO Bank and IndusInd Bank serve as primary intermediaries for rupee-denominated Russian oil payments. In China, the Iran template provides a proven model: OFAC designated three Shandong Province teapot refineries for Iranian crude purchases between March and May 2025, and SDN listing cut off their dollar transactions.¹⁰⁷

[105] S&P Global Commodities at Sea, shadow fleet estimate; Kpler predictive risk-scoring identified 261 vessels at significant designation risk (Oct. 2025). Windward behavioral AI flagged 99% of eventually-sanctioned vessels before formal designation.

[106] NB8++ insurance verification initiative (Dec. 2024, twelve countries); Nordic Warden (JEF-led AI, activated Jan. 2025).

[107] OFAC designated three Shandong teapot refineries for Iranian crude purchases, Mar.-May 2025. Columbia CGEP cautions re: limited direct impact on teapots with minimal U.S. economic ties.

The signaling effect on state-owned enterprises is the primary mechanism: PetroChina, Sinopec, CNOOC, and Zhenhua Oil paused seaborne purchases within 24 hours of the October 2025 designations. Columbia CGEP cautions that teapot refineries maintain minimal ties to the U.S. economy, which limits direct impact, but SOE-level behavioral change is the operative objective.

The fourth action addresses the U.S.-EU enforcement divergence through explicit instrument-assignment rather than cap harmonization. The Banff deadlock produced a dual-cap system (\$60 U.S. / \$44.10 EU) that undermines enforcement coherence. Rather than pursue a negotiation Bessent blocked, the Envoy should propose a functional division: the United States focuses on OFAC designations and secondary sanctions, where its dollar-system leverage produces a 70 percent vessel productivity decline; the EU focuses on floating cap calibration, the proposed maritime services ban, and SWIFT architecture.¹⁰⁸ The Atlantic Council has documented this de facto division; formalization into an explicit coordination framework would resolve the gap without either party's abandonment of its preferred enforcement philosophy.

Phase II: Sustained Pressure

Phase II demonstrates that Phase I's enforcement intensity is sustainable rather than a one-time shock that Moscow can wait out. The two-to-three-month adaptation cycle means that any enforcement action not sustained beyond its initial impact depreciates to baseline within a quarter.¹⁰⁹ The FDD's "Red Queen" framework applies: enforcement that does not advance relative to evasion adaptation effectively retreats.

Phase II should establish a public enforcement dashboard that reports monthly revenue denial figures, vessel compliance rates, price spread data, and volume shifts. No government currently publishes systematic sanctions effectiveness data; CREA and KSE already provide the analytical architecture, and an official U.S. version would carry additional institutional weight. The dashboard serves three audiences: Moscow, by demonstration that the regime's coercive capacity is measured and publicized; coalition partners, by sustained domestic political support; and Congress, by construction of the evidentiary case for eventual Phase III relief authority.

[108] Kpler data: OFAC sanctions produce ~70% vessel productivity decline vs. ~30% for EU/UK. Atlantic Council documentation of de facto instrument division. JCPOA Annex 2 as potential coordination model.

[109] Yakulenko, Carnegie Endowment, 2025: sanctioned companies reorganize intermediaries, reroute trade, and resume near-normal operations within two to three months.

Phase II is also the preparation period for Phase III: the Envoy's Office should work with EU counterparts to categorize potential relief measures along two dimensions, value to Russia and reversibility, and prepare the general license instruments that preserve sanctioned status while specific transactions receive revocable authorization.¹¹⁰ The Chatham House "white list" proposal provides a complementary mechanism: compliant buyers gain access to Western services within the tighter framework, an inducement for compliance embedded within the enforcement architecture.

Phase III: Pressure into Inducement

Phase III translates coercive pressure into diplomatic currency through graduated relief tied to verifiable milestones. Three tiers match relief value and reversibility to progressively demanding compliance thresholds.

Tier 1 (low-value, high-reversibility) consists of vessel delistings via general license, attestation requirement relaxation, and white-list access for compliant buyers. OFAC can withdraw a general license by executive action within hours, without new legislation or coalition coordination. Tier 1 triggers on ceasefire implementation, prisoner-of-war exchanges, and initiation of a systematic child returns program; as of February 2026, only 2,003 of approximately 20,000 identified abducted Ukrainian children have returned, a figure the Atlantic Council and the Klobuchar-Grassley Act identify as central to any settlement.¹¹¹

Tier 2 (medium-value, medium-reversibility) includes upward adjustment of the price cap, port access restoration, and selective non-energy delistings. The EU's dynamic cap mechanism is architecturally bidirectional; Chatham House confirms the cap can move up as the coalition decides.¹¹² Tier 2 triggers on verified withdrawal from specified territories, acceptance of international monitoring, and sustained compliance over a defined period. These measures require multilateral coordination, the EU controls the cap mechanism, which means Russia must earn not just U.S. approval but coalition consensus.

Tier 3 (high-value, low-reversibility) encompasses partial SWIFT reconnection, sectoral easing, and consideration of frozen asset frameworks. Rosselkhozbank, Russia's top stated demand for SWIFT access and the most politically defensible candidate given its agricultural role, represents the logical starting point.¹¹³

[110] FDD: general license mechanism preserves sanctioned status while specific transactions receive revocable authorization.

[111] Atlantic Council, "Eleven guiding principles for lifting sanctions on Russia," 2025.

[112] Chatham House: Dubrovskiy and Nixey, "white list" proposal; dynamic cap bidirectionality confirmed. No analyst has proposed cap increase as graduated inducement, though the architecture permits it.

[113] Rosselkhozbank: Russia's top SWIFT demand; agricultural role provides political defensibility.

The EU's July 2025 shift from SWIFT disconnection to a comprehensive transaction ban on 50 Russian banks complicates partial reconnection: it now requires amendment of Regulation 833/2014 by unanimous EU Council vote. Iran's SWIFT reconnection took approximately four weeks from JCPOA Implementation Day but suffered severe de-risking effects as European banks refused to process Iranian transactions for years afterward, a "JCPOA chill" precedent that any Russia timeline must address. The Envoy's Office should sequence SWIFT reconnection after energy-related relief to preserve the EU's independent leverage for the highest-value concessions. Tier 3 triggers on comprehensive settlement compliance sustained over twelve or more months.

The snapback architecture must address Moscow's explicit skepticism about U.S. commitment durability; Lavrov characterized the JCPOA snapback as "a trap."¹¹⁴ The FDD's general license approach provides the most operationally sound mechanism: entities remain on the SDN list throughout all three phases, and relief comes exclusively through revocable licenses. Formal SDN delisting, which requires 12-18 months for redesignation, should occur only at the final stage of comprehensive settlement compliance, years into the process. Russia's UNSC veto makes Council-based snapback architecture impossible; any mechanism must therefore operate on a purely plurilateral basis among G7 and coalition partners. CAATSA-covered designations face 30-day congressional review even for relief, a deliberate institutional brake that the Envoy should treat as a credibility asset rather than a constraint.¹¹⁵

Verification requires a hybrid architecture that bypasses the OSCE consensus problem, since Russia vetoed mandate renewal in March 2022. The alternative combines commercial satellite and AIS surveillance (Windward, Maxar/Planet/ICEYE), the U.S.-involved monitoring mechanism under discussion at the Geneva and Abu Dhabi rounds, and open-source intelligence from established platforms (KSE Oil Tracker, CREA monthly analyses, Kpler vessel data).¹¹⁶ A dedicated commercial satellite verification program would cost an estimated \$5 to \$50 million annually, a fraction of the OSCE SMM's peak budget of over 100 million euros and orders of magnitude less than the revenue at stake.

[114] Lavrov characterization of JCPOA snapback, cited in Russian diplomatic statements. Ryabkov stated Russia does not view the United States as a reliable negotiating partner.

[115] CAATSA 30-day congressional review; Biden administration Jan. 2025 redesignation under EO 13662 triggers this requirement. Peace Through Strength Against Russia Act requires congressional review before sanctions termination but lacks automatic reimposition triggers—a structural gap legislation should address.

[116] OSCE SMM: operated 2014-2022, ~1,300 staff, 100M+ euros/year; Russia vetoed renewal Mar. 31, 2022. Satellite verification: Maxar tasking ~\$2,900 per 100 sq km; AIS services from Windward and Kpler at lower cost.

Players, Spoilers, and the Coalition Equation

The strategy requires alignment of an intra-administration tension before it can function as coalition strategy. Witkoff, who functions as de facto chief interlocutor, reportedly pressed to lift energy sanctions; Rubio denied this "unequivocally"; Bessent controls the sanctions machinery through Treasury and demonstrated willingness to escalate through the October designations.¹¹⁷ Phase I tightening must register as coordinated strategy, not internal contradiction. Congressional engagement is essential: CAATSA's 30-day review period and the Peace Through Strength Act's provisions give Congress a formal role that strengthens the framework's credibility.

Coalition partners for Phase I are readily available. The EU and UK have independently escalated throughout 2025 and serve as natural allies for front-loaded enforcement. Nordic and Baltic states possess the strongest enforcement motivation through environmental liability exposure. Hungary remains the most consequential spoiler, with the Paks II nuclear entanglement (10 billion euro Rosatom loan at 80 percent of costs) as structural motivation to obstruct; Phase I's emphasis on unilateral U.S. action specifically bypasses this constraint.¹¹⁸ Greece and Malta oppose the proposed maritime services ban to protect their merchant fleets. Turkey occupies a potential pivot position: imports collapsed from 400,000 to 100,000 bpd after the October designations, and the STAR refinery faces a binary choice between Russian feedstock and EU export market access, an incentive structure the Envoy could exploit.

OFAC's authorized staff of 261 full-time equivalents handles routine enforcement, not the sustained campaign this framework requires; the GAO's September 2025 audit found that agencies have not established measurable outcomes for sanctions activities.¹¹⁹ Verification costs of \$5 to \$50 million annually compare favorably to the OSCE SMM's 100 million euros with 1,300 staff. Market price effects from Phase I may produce a temporary Brent increase of \$5 to \$10 per barrel, manageable within the IEA's projected surplus and OPEC's spare capacity. Phase III relief eases prices in the medium term.

[117] Witkoff: reported push to lift energy sanctions and restart Nord Stream 2; Rubio denial ([The Hill, Feb. 2026](#)). Bessent controls OFAC via Treasury.

[118] Hungary: blocked 20th sanctions package and 90B euro Ukraine loan (Feb. 24, 2026), third time in fourteen months. Paks II: 10B euro Rosatom loan, 80% of costs. 36 MEPs "urged" Greek shipping crackdown; Greek Navy NAVTEX exclusion zones demonstrate enforcement feasibility.

[119] [GAO Report GAO-25-107079](#), Sep. 8, 2025. OFAC 261 FTEs. U.S. agencies obligated ~\$164M in Ukraine supplemental funding for sanctions enforcement through Sep. 2024; supplemental funding expired Sep. 30, 2025.

LEVERAGE THAT REMAINS

The sanctions architecture analyzed in this paper compressed Russian fossil fuel export revenues by 54 percent from their March 2022 peak, imposed a \$29.20 per barrel discount on Urals crude, and contributed to the sharpest fiscal deterioration Russia has experienced since the COVID-19 pandemic. These results are significant. They are also substantially below the architecture's demonstrated potential. CREA measured €162 billion in cumulative unrealized revenue denial through November 2025 under a \$30 per barrel enforcement threshold — still above Russia's average production cost. The shadow fleet continues to move approximately 70 percent of Russian seaborne crude outside Western services. The United States and the European Union operate under different price caps separated by \$15.90. Each gap represents not a failure of sanctions design but a reservoir of coercive capacity the coalition has constructed but declined to deploy.

The three-phase framework developed in this analysis exploits the structural asymmetry at the heart of the coalition architecture. The United States can escalate unilaterally through OFAC designations and secondary sanctions — actions that require no EU unanimity, no Hungarian consent, and no Greek cooperation. Relief requires multilateral coordination across instruments no single actor controls: SWIFT under EU jurisdiction, frozen assets at Euroclear, the floating cap through EU regulation, insurance markets through London. Russia must earn that coordination through verifiable behavioral change. The enforcement gap transforms from a liability into a policy asset the moment the Envoy's Office deploys it as such.

Maintaining the current posture without reinforcement carries asymmetric risk. Russia's two-to-three-month adaptation cycle erodes each sanctions shock without sustained follow-through; a strategic hold signals that the existing baseline represents the ceiling of Western coercive capability. The fiscal indicators that create the current leverage window — January 2026 revenue at a five-year low, the NWF on a depletion trajectory, the IMF projecting 0.8 percent growth for 2026; compound under sustained pressure but stabilize under adaptation. The Chatham House warning frames the constraint: if Russia completes the transition to a more autarkic economic model, sanctions leverage diminishes permanently.

The Envoy's Office operates at a rare convergence. The global oil surplus mitigates the price-spike risk that constrained 2022 policy. Russia's fiscal position stands at its weakest since the full-scale invasion. The EU and UK have independently escalated, creating coalition momentum the United States can harness. The negotiating track provides the institutional channel for converting pressure into outcomes. This convergence will not persist — OPEC+ unwinding, coalition fatigue, and Russian adaptation all erode the window over time. The ultimate question for lasting settlement is not whether energy sanctions possess value as leverage but whether the United States will deploy that leverage before the window closes. ■

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